Unilever in the Global Economy, 2020–2025

BUSI 1763 · Group Mind Map · Completed events, Jan 2020 – Dec 2025

UNILEVER

UK-based consumer goods MNE
Four theories · 2020–2025

Globalisation

Speaker 1 · Unilever worldwide

- **Levitt: one world market**
  the same global brands everywhere (e.g. Dove)
- **Five drivers**
  focus: technology · transport costs · government policy
- **Globalisation of markets**
  €50.5bn turnover; 59% from emerging markets (2025)
- **Economies of scale**
  shared R&D and buying · one parent company (Nov 2020)
- **Global vs local = transnational**
  Dove: one global brand, local ranges · Power Brands 78% (2025)

Regional Integration

Speaker 2 · Mexico

- **Five levels of integration**
  FTA → customs union → common market → union
- **USMCA = free trade area**
  US · Mexico · Canada; replaced NAFTA (Jul 2020)
- **Rules of origin**
  qualifying goods cross the borders tariff-free
- **Trade creation vs diversion**
  Mexico plant raised to $800m (Apr 2025), aimed at US exports
- **Benefit vs limit**
  tariff-free access to the US · new US tariffs (Mar 2025)

MNEs from Advanced Economies + CSR

Speaker 3 · UK MNE

- **MNE goals vs host-country goals**
  returns, costs vs jobs, control, clean environment
- **Ownership advantages**
  UK brands and R&D · hosts gain local listings (e.g. India)
- **Goal conflicts**
  job cuts (Mar 2024) · Russia (Mar 2022 – Oct 2024)
- **CSR = licence to operate**
  framework: Unilever Compass (from Mar 2021)
- **CSR: progress vs setbacks**
  own emissions −77% (by Dec 2025) · plastic target cut (Apr 2024) · greenwashing claims
- **Critical view: purpose vs profit**
  Terry Smith: "lost the plot" (Jan 2022) · UK CMA probe (Dec 2023 – Nov 2024)

FDI

Speaker 4 · United States

- **OLI model (Dunning)**
  Ownership · Location · Internalisation
- **Four motives**
  market · resource · efficiency · strategic asset
- **Greenfield vs M&A**
  Unilever in the US = mainly M&A
- **Strategic asset-seeking**
  Paula's Choice (Aug 2021) · Nutrafol (Jul 2022)
  K18 (Feb 2024) · Dr. Squatch (Sep 2025)
- **Benefit for Unilever**
  premium brands, online skills, growth in the US

Sources: Unilever PLC Annual Reports on Form 20-F 2020–2025; UNCTAD World Investment Report 2025; US Census Bureau; USTR; full Harvard references on our presentation slides.